DATA
ANALYSIS

Nescafé vs. Starbucks:

Generational Penetration & Preference Analysis

Primary Objective:

To perform a comparative diagnostic between Nescafe and Starbucks, identifying high-priority growth opportunities and demographic risks within the current market landscape.

Presented by

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Key Goals:

1. **Evaluate the Consumer Profile:** To systematically determine the demographic characteristics and lifestyle that constitute Nescafe's core buyer base.

2. **Analyze Behavioral Preferences**: To assess the consumption habits and media touchpoints that influence Nescafe purchasers, identifying where brand engagement is strongest.

3. **Detect "Critical Risks":** To isolate specific segments where Nescafe is significantly under-performing (Under-Indexing) compared to the market average and key competitors.

4. **Strategic Recommendations:** To provide data-backed actions for optimizing marketing spend toward high-impact digital and physical channels.

Analytical Framework & Methodology

The Core Metric: Affinity Index

To evaluate our consumers, we use the Affinity Index. This metric measures how much more(or less) likely a specific segment is to engage with Nescafe compared to the average consumer.

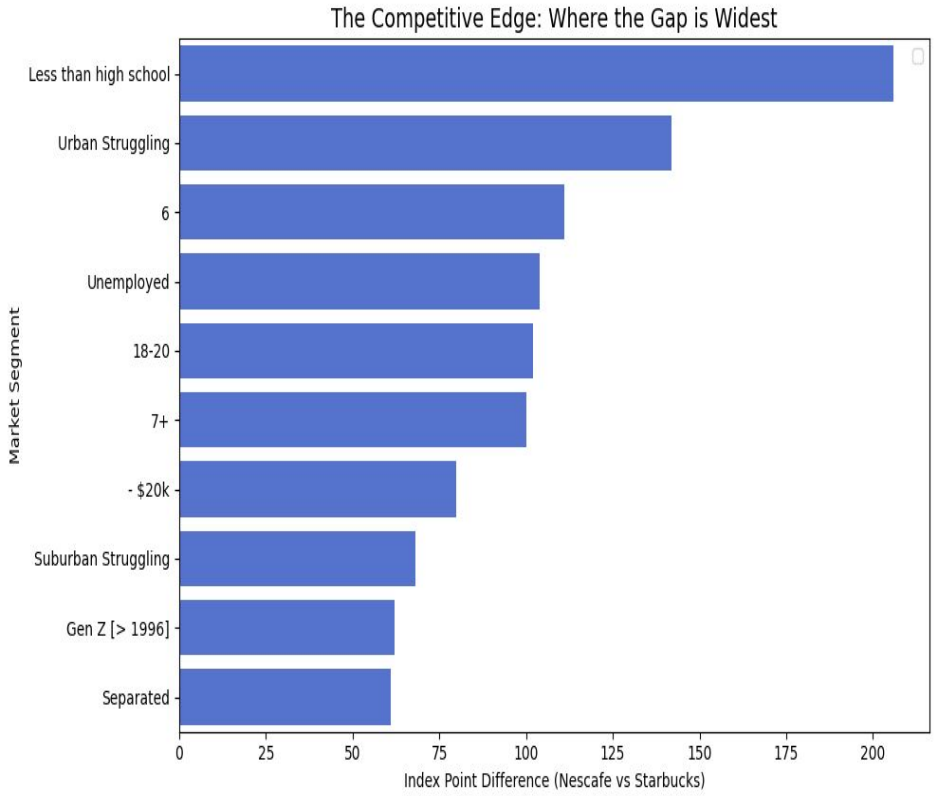
- **The Baseline (100):** “Market Average”
- **Index > 100:** Stronger Affinity (Propensity to buy is higher than average).
- **Index < 100:** Weaker Affinity (Propensity to buy is lower than average).

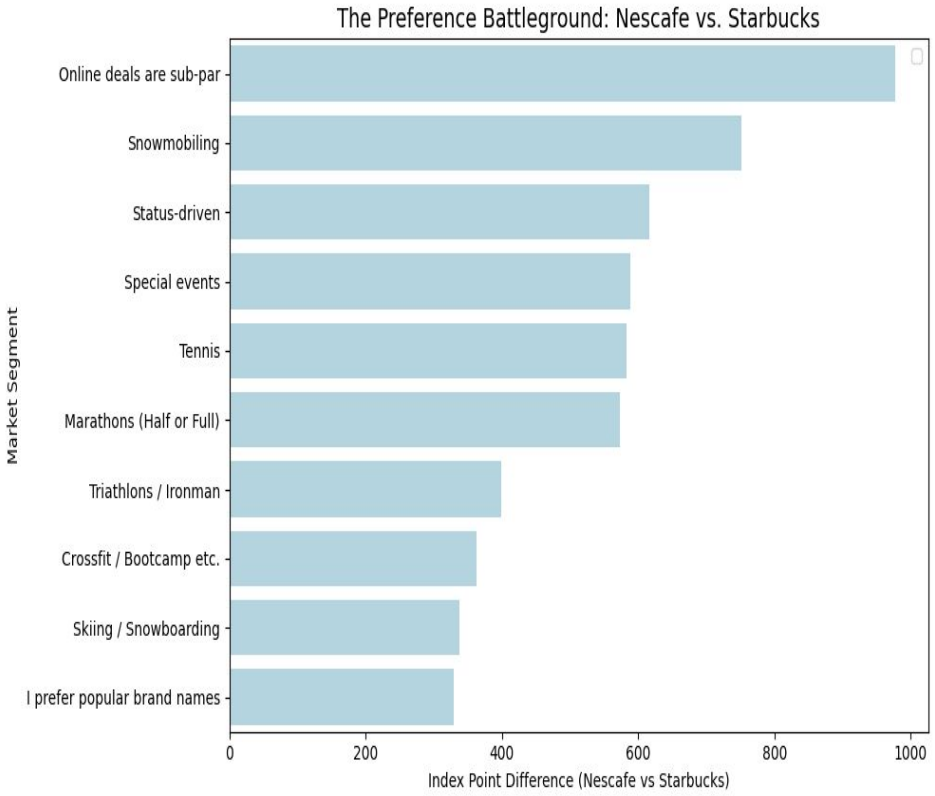
Strategic Classification

We categorize every data point into three strategic buckets to prioritize business action:

1. **Core (110+):** Our “Super-consumers” - strengths we must protect.
2. **Average (90 - 110):** Stable segments that reflect the general market trend.
3. **Risk(<90):** Areas of concern - under-performing or losing to competition.

Mapping Demographic and Behavioral Gaps





Core Insights & Strategic Actions

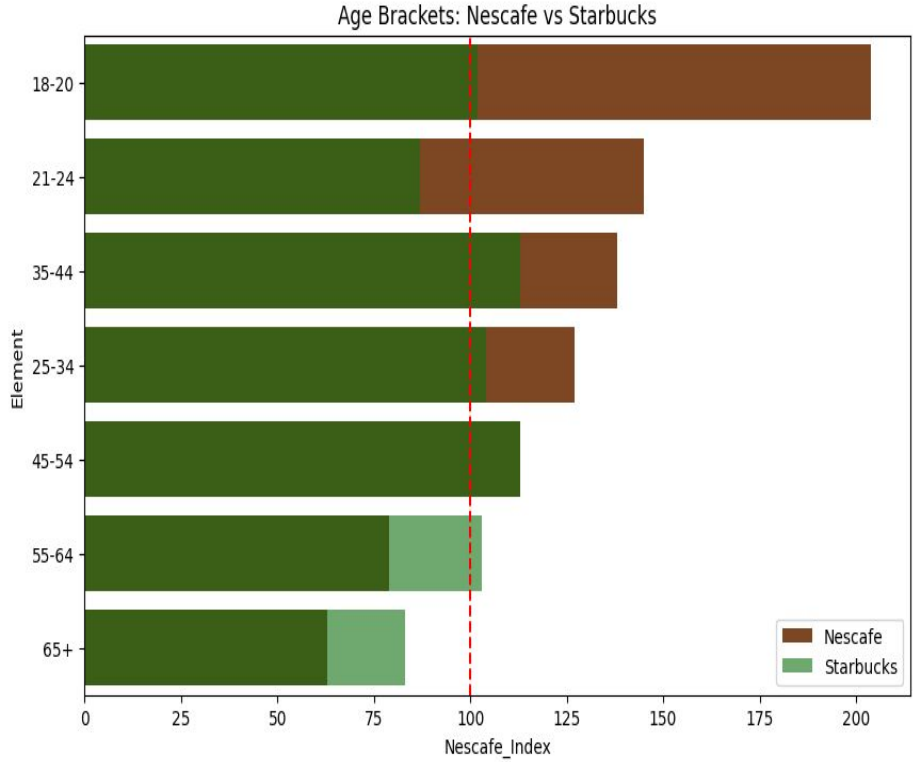
Core Insights

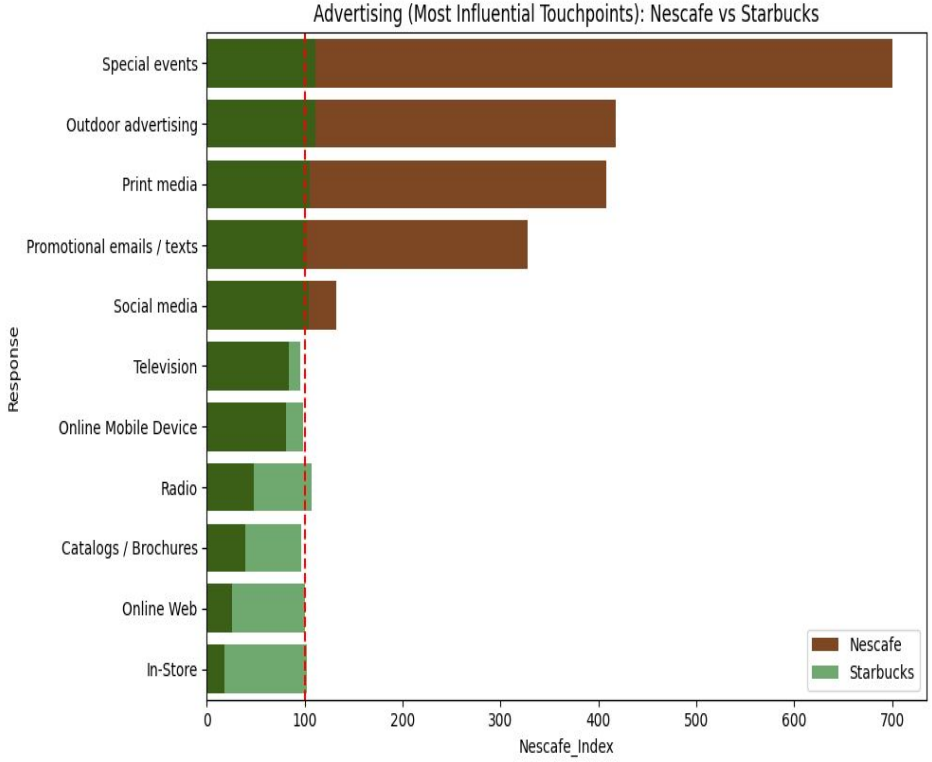
- **The Status-Value Link:** Nescafe's strongest segments (lower education/income) are highly "Status-driven" and "Values-driven", viewing the brand as more than just a budget choice.
- **Digital Distrust:** Key loyalists are skeptical of online retail, preferring physical stores and special events for brand engagement.
- **Active Youth Market:** Nescafe leads in Gen Z (18-20) and active lifestyle segments, particularly those interested in marathons and tennis.

Strategic Actions

- **Position as "Affordable Status:** Pivot marketing to frame Nescafe as an accessible premium symbol to satisfy status-driven consumers
- **Prioritize Physical Presence:** Shift ad spend from social media to outdoor advertising and experiential events where influence is highest.
- **Optimize for Large Households:** Use bulk packaging to cater to large families (6-7+ people) with diverse dietary needs like vegan or grain-free.

Capturing the Next Generation





Relationship Overview

Nescafe dominates the **18-20 and Gen z** segments by leveraging high-impact physical marketing, specifically **Special Events** and **Outdoor Advertising**. Unlike older “risk” segments, these young consumers find Nescafe advertising **trustworthy and entertaining**. By meeting Gen Z in high-energy, real-world environments, Nescafe effectively secures the next generation of loyalists through powerful physical presence.

Growth Solutions

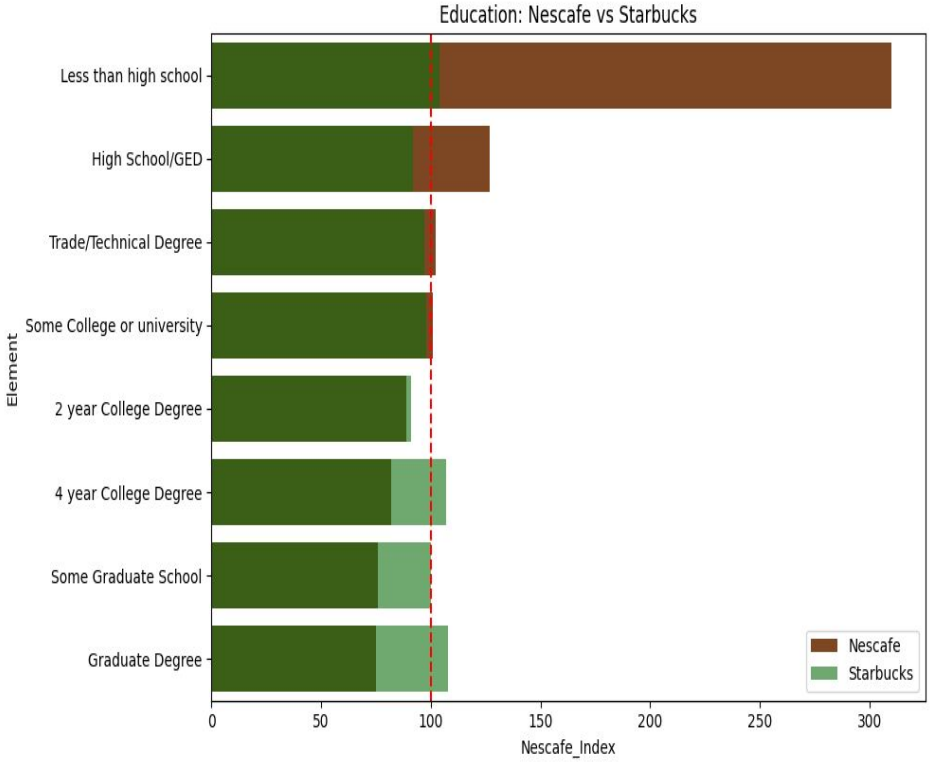
Above Average:

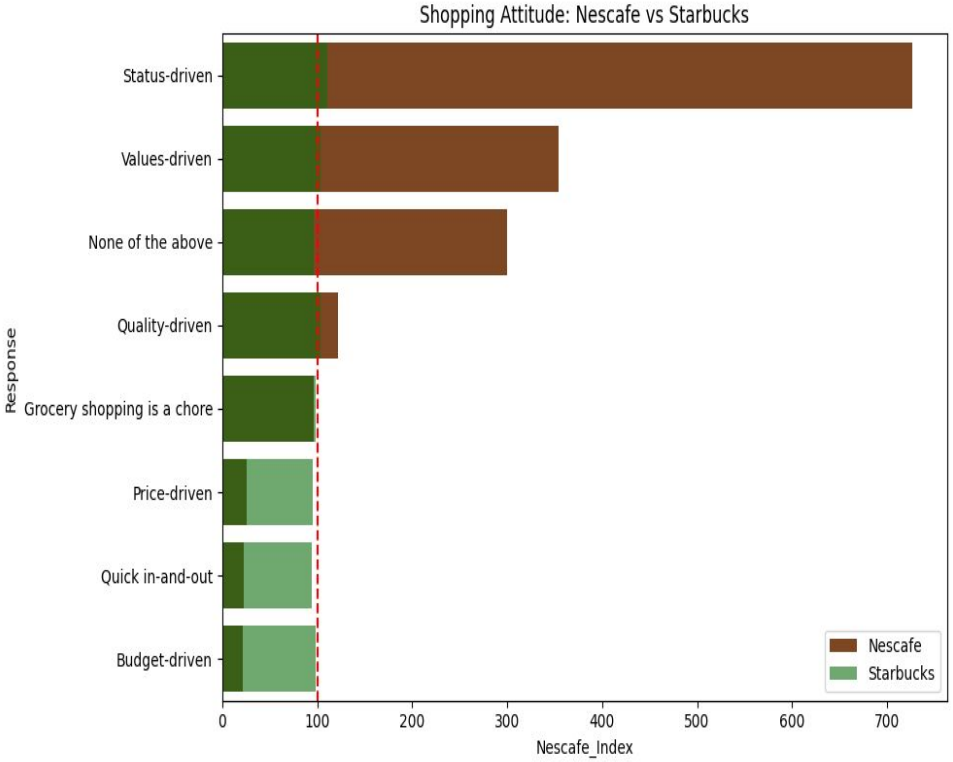
Increase funding for large-scale **“Special Events”** like music festivals or campus takeovers where Nescafe’s influence is at its peak. Use **“Outdoor Advertising”** in high-traffic urban areas to maintain brand top-of-mind status.

Below Average:

- **Revitalize “In-Store” and “Television” influence** by using “Values-driven” messaging that highlights brand heritage and quality to recapture the high-risk Retired and 65+ segments.
- **Convert high “Radio” exposure into influence** by tailoring content to the “Status-driven” sensibilities of older consumers, addressing the current gap where they hear ads but remain unpersuaded.

The Value-Status Paradox





Relationship Overview

Nescafe's largest competitive lead is among those with **less than a high school education**. These consumers are not motivated by price or speed, but are overwhelmingly **"Status-driven"** and **"Values-driven"**. This suggests they perceive Nescafe as a **prestige brand** and a symbol of reliable quality rather than a budget alternative.

Growth Solutions

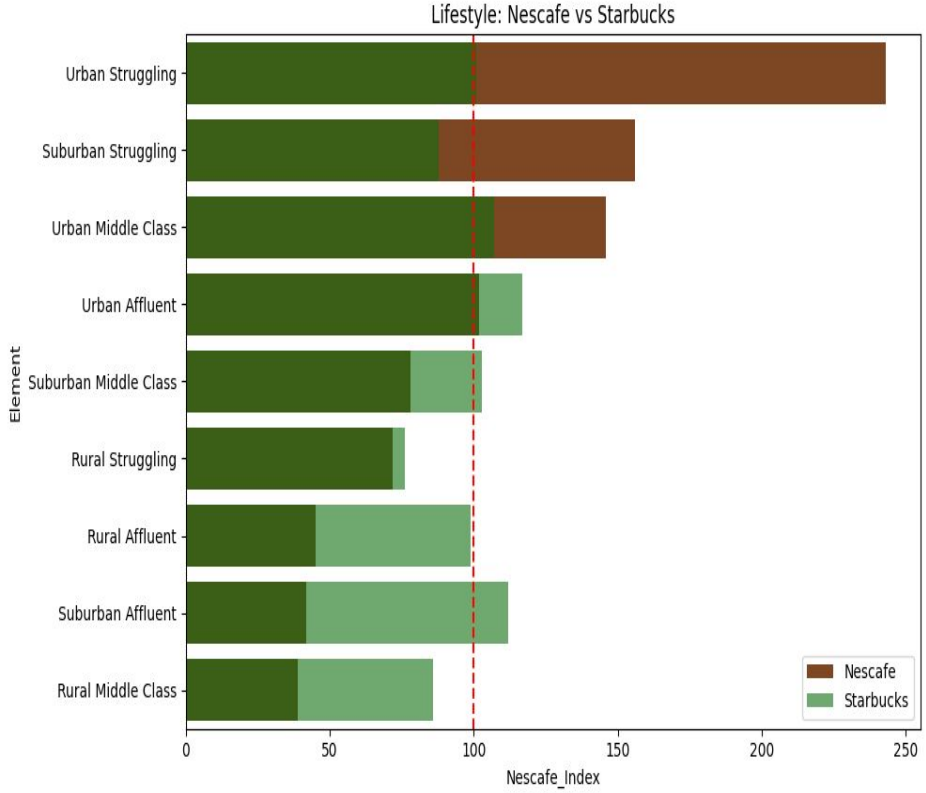
Above Average:

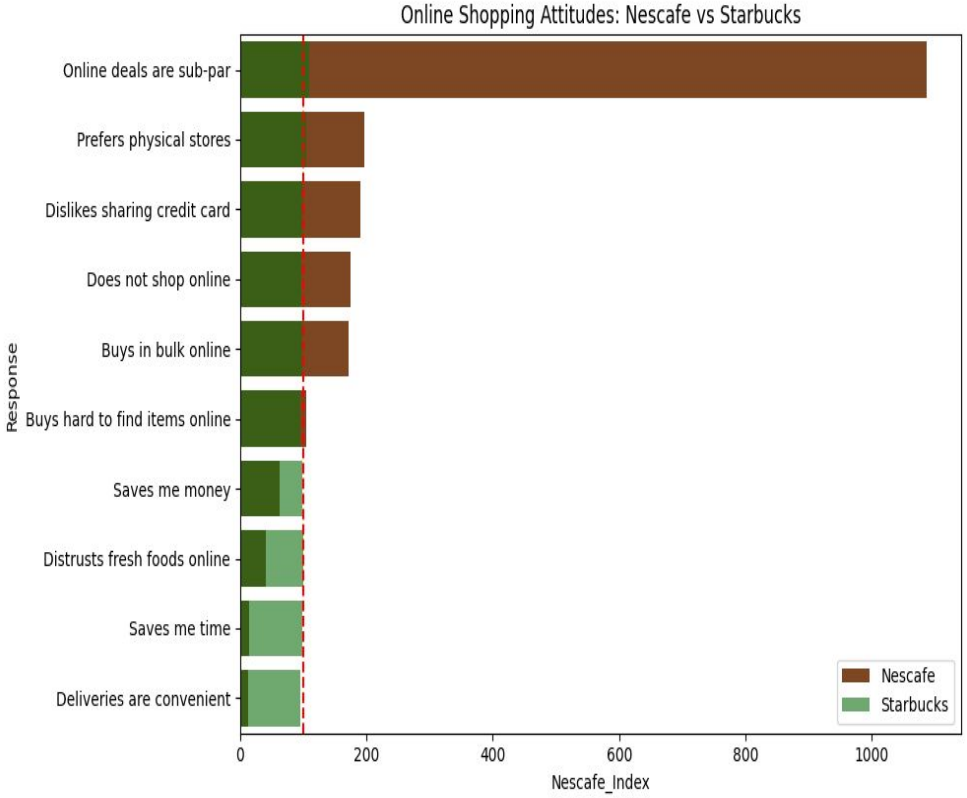
- Pivot marketing from “value” to **“prestige”** to frame Nescafe as an affordable premium ritual for its loyal base.
- Use the **Values-driven** preference to emphasize Nescafe’s global expertise, justifying the “status” brand loyalists feel when choosing it.

Below Average:

- Launch specialized **“Single Origin”** or **“Craft”** lines to attract the highly-educated cohorts (College/Graduate degrees) currently favoring Starbucks.
- Address the low index in **“Quick in-and-out”** attitudes by rebranding the “instant” nature of the product as a high-quality, time-saving solution for busy professionals.

Winning in the Physical Marketplace





Relationship Overview

Nescafe's dominance in **"Urban Struggling"** and **"Suburban Struggling"** lifestyles is deeply linked to an extreme skepticism of digital retail. These core consumers overwhelmingly believe **"Online deals are sub-par"** and have a strong **preference for physical stores**. For this segment, the brand's strength is built on being a reliable, tangible product found on a physical shelf rather than a digital one.

Growth Solutions

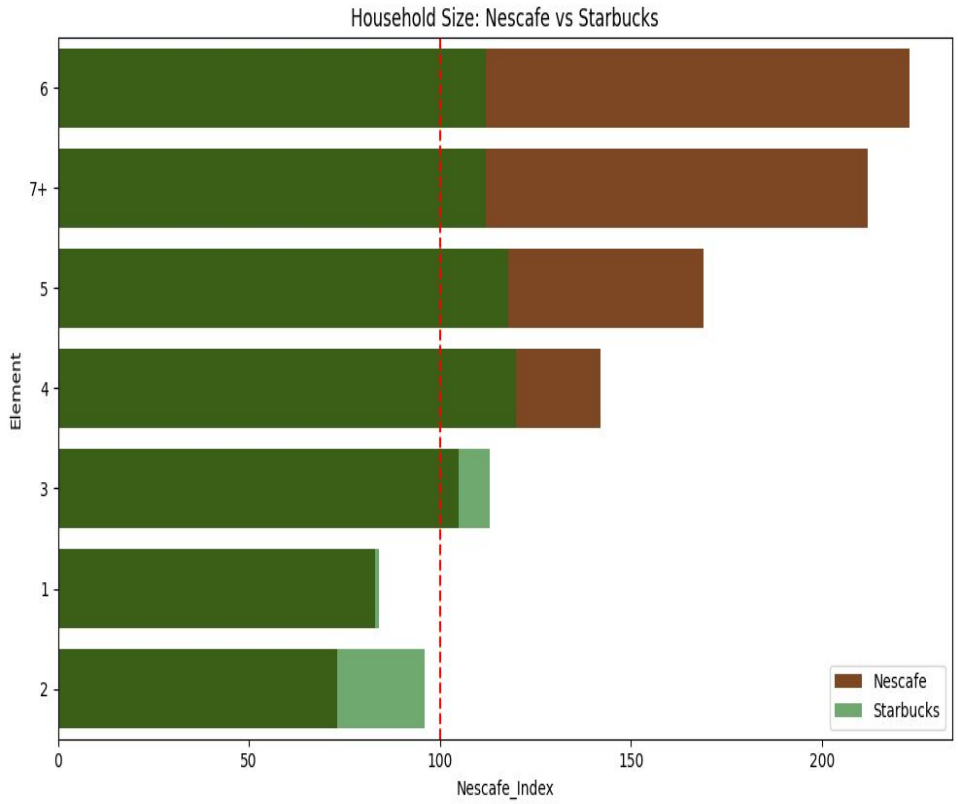
Above Average:

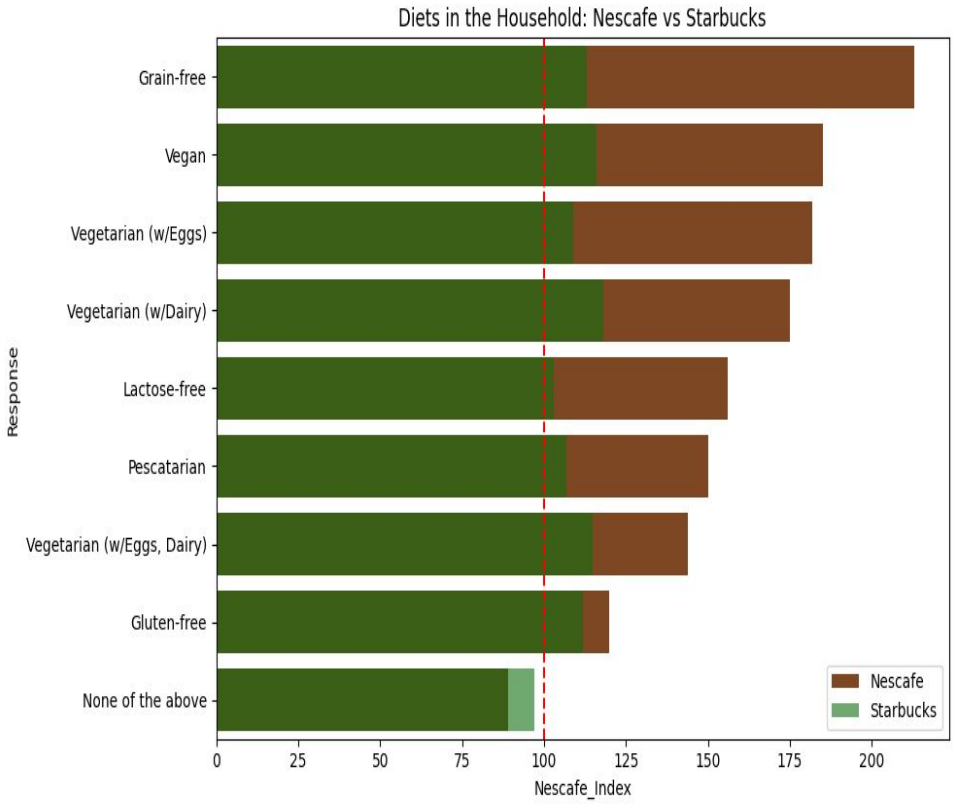
- Focus resources on high-visibility **in-store displays** and physical point-of-sale promotions in urban hubs to cater to the segment that explicitly prefers shopping in person.
- Since these consumers distrust online deals, use **print media and in-store coupons** to drive sales, tapping into their “Deal-focused” but “Digital-skeptic” behavior.

Below Average:

- Nescafe performs poorly in the perception that **“Deliveries are convenient”** and **“Saves me time”**. Nescafe must partner with rapid-delivery apps to improve digital speed.
- Address the **“Dislikes sharing credit card”** sentiment by integrating secure, one-click payment (like Apple pay or PayPal) to lower the barrier for online adoption among risk segments.

Large Households & Specialized Needs





Relationship Overview

Nescafe is the clear favorite for **large households**, with a massive lead in homes of **6 to 7+ people**. It shows its highest preference indices sin households that follow specialized diets, such as **Grain-free, Vegan**, and **Lactose-free**. This suggests Nescafe serves as a versatile, “safe” staple for multi-person homes where individual family members have diverse nutritional requirements.

Growth Solutions

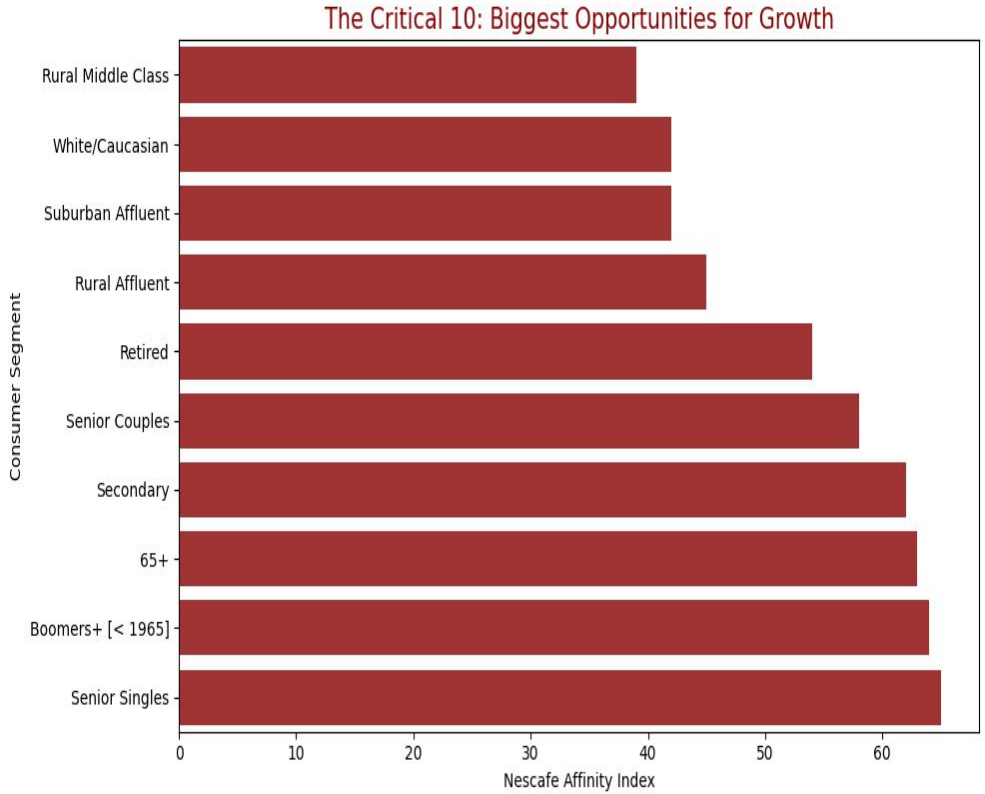
Above Average

- Market Nescafe's compatibility with **Vegan and Grain-free** lifestyles to position it as the ultimate solution for large families with varied dietary restrictions.
- Introduce "Family-Size" packs that prominently display **dietary certifications** (e.g. non-dairy, gluten-free) to reinforce trust and convenience for large-household shoppers.

Below Average

- To attract **one-person and two-person households** where Starbucks leads, launch premium, single-serve "stick packs" that offer the same quality in a smaller format.
- For households with **no specialized dietary needs**, pivot the messaging from "versatility" to **"premium taste and convenience"** to compete with Starbucks lifestyle-driven dominance in smaller homes.

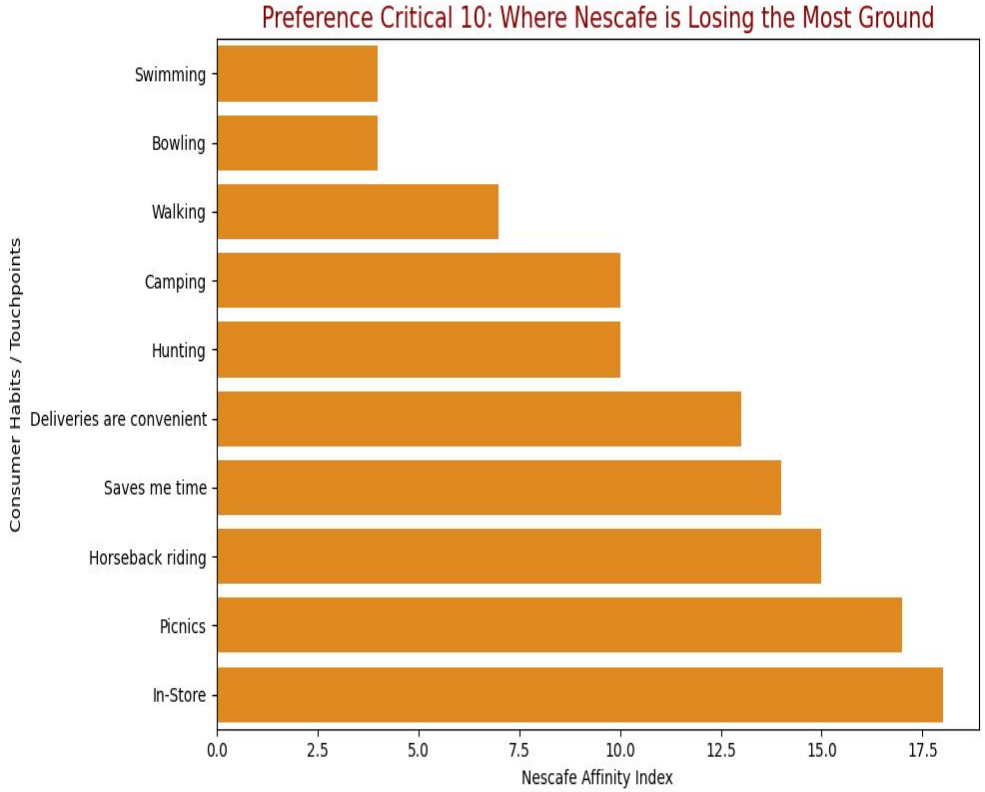
The Growth Frontier: Top Opportunities for Expansion



Growth Solutions:

- Use **Radio and Print Media**—channels where Nescafe has high exposure—to deliver heritage-focused messaging to the high-potential **65+ and Retired** segments.
- Launch high-tier, specialized coffee lines specifically for the **Suburban Affluent** to bridge the current affinity gap in this high-spending demographic.

Strategic Vulnerabilities



Growth Solutions:

- Partner with rapid-delivery platforms to explicitly address the **“Saves me time”** and **“Deliveries are convenient”** gaps, positioning the product as a modern, high-speed solution.
- Beyond basic shelf placement, invest in premium, interactive point-of-sale displays to revitalize the **“In-Store” experience** and improve brand perception at the moment of purchase.

Executive Summary: The Nescafe Strategic Outlook

To conclude, Nescafe stands at a critical juncture where it can move from being a “budget alternative” to a **primary status symbol** for the modern consumer.

- **Capitalizing on Strength:** We are currently dominant among **Gen Z (18-20)** and **large households (6-7+ people)**. Our massive lead in **Special Events** and **Outdoor Advertising** proves that our physical, real-world influence is our greatest competitive edge.

- **The Premium Shift:** Our core audience is not budget-driven; they are **Status-driven** and **Values-driven**. By launching **“Craft” and specialized dietary lines (Vegan/Grain-free)**,

Executive Summary: The Nescafe Strategic Outlook

We can satisfy this desire for status while attracting the higher-educated segments where we currently trail Starbucks.

- **Modernizing for Tomorrow:** To secure future market share, we must bridge the convenience gap. By fixing our digital delivery perceptions and implementing secure, one-click payments, we can win over the time-poor, affluent consumers who are our biggest current growth risk.

The Bottom Line: By leveraging our heritage as a **Values-driven brand**, Nescafe is uniquely positioned to own the “Accessible Premium” coffee category for the next generation.